

TRADING PERFORMANCE REPORT

Analysis Period:	September 3-19, 2026 (5 trades across 3 sessions)
Report Generated:	September 19, 2026
Trader:	James
Accounts:	LIVE options (Schwab). No shadow trades. No futures trades.
Strategies:	SPX Bull Put Spreads Bear Call Spreads — both sides traded
Market:	Oil-driven risk-off into FOMC week. Brent to ~\$109, 10-year yields touched 5% (highest in nearly two decades), Middle East
Context:	Declared wind-down period — selective trading ahead of the MSc start.
Theme:	The perfect trade that went bad.

EXECUTIVE SUMMARY

Overall Performance: −\$250 gross across 5 trades (4 wins, 1 loss, 80% win rate), −\$365.90 net of \$115.90 in costs. Live options cumulative +\$1,895 across 83 trades.

Four winners produced +\$800. One trade produced −\$1,050 and turned the period slightly negative. That trade — 238 — is the whole report, because of what it was rather than what it cost.

In the last report you wrote: *“I'd rather a perfect trade went bad than one with a clear rule breach.”* Trade 238 is that trade, delivered almost to specification. With-signal entry on a BEARISH 3.5/5 brief. Entered 10:46 ET, comfortably clear of the first hour. Floor-compliant credit. Stop set and working. The market rallied against the signal, the 4× stop filled, and SPX then faded to finish out of the money. **No breach, no error, no lesson — just variance.**

Key Findings:

- ★ TRADE 238: every box ticked and it still lost \$1,050. The first fully clean loss of any size on the live account. Sixth instance of stop-fired-then-finished-OTM — but see the analysis: those six are not one population.
- ★ DIRECTIONAL CONCENTRATION BROKEN: trade 235 was the first bear call spread since trade 214 on 27 July — a 44-day gap, and 18 consecutive bull put spreads before it. Three of five trades this period were call-side.
- Two-sided session on 10 September: calls into strength, then a put spread 130 points below spot afterwards. Three trades, three winners, +\$500. First genuinely two-sided day in the log.
- Stacked-entry pattern appeared a third time (trade 236) — but was trimmed in 60 seconds, against 10 minutes on trade 230 and ~20 minutes on 221/222. R25 still unadopted; the response time is improving anyway.
- Reversal-timed entry sample reached n=3 (trade 234, 86% capture). Still an anecdote, but a growing one.
- Frequency down to 5 trades in 13 sessions. Declared wind-down ahead of the MSc, and it predates the loss — the 10 September journal already records it.

P&L; SUMMARY

Book	Trades	W	L	Win %	P&L
Bull Put Spreads	2	2	0	100%	+\$575
Bear Call Spreads	3	2	1	66.7%	−\$825
Gross total	5	4	1	80.0%	−\$250
Less: fees & commissions	—	—	—	—	−\$115.90
NET TOTAL	5	4	1	80.0%	−\$365.90

Premium collected \$1,700 against \$115.90 of costs — 6.82% drag, consistent with the structural 4–8% range documented since R9 was retired for ODTE.

CUMULATIVE TRACKING

Period	Trades	Win %	P&L (gross)	Cumulative
Aug 5–7	4	100%	+\$1,075	+\$2,750
Aug 10–14	6	83.3%	+\$1,200	+\$3,950
Aug 17–27	7	71.4%	–\$1,805	+\$2,145
Sep 3–19 (this report)	5	80.0%	–\$250	+\$1,895

83 live options trades since inception. Futures book unchanged at –\$215 across 15 trades. Two consecutive negative periods, both driven by a single trade each — one a rule breach, one entirely clean.

TRADES

#	Date	Type	Strikes	Cts	Entry	Exit	P&L	Cap.	Notes
234	03/09	BPS	7660/7640	5	\$0.70	\$0.10	+\$300	86%	Reversal entry #3. Three fills by 11:48.
235	10/09	BCS	7645/7665	5	\$0.75	\$0.40	+\$175	47%	First BCS in 44 days. ~2 hours.
236	10/09	BCS	7650/7670	5	\$0.65	\$0.55	+\$50	15%	Adjacent strike, trimmed in 60 sec.
237	10/09	BPS	7520/7500	5	\$0.65	\$0.10	+\$275	85%	130 pts below spot. ~96 min.
238	14/09	BCS	7650/7670	5	\$0.65	\$2.75	–\$1,050	—	4× stop. With-signal. Finished OTM.

All five P&L; figures verified against (entry – exit) × contracts × 100.

TRADE 238: THE PERFECT TRADE THAT WENT BAD

This is the loss you specified. It is worth going through it properly, because the value of a clean loss is entirely in what does *not* get changed afterwards.

Check	Status
Signal alignment	BEARISH 3.5/5 on the morning brief. Bear call spread — with the signal, not against it.
Brief detail	VIX 17.73 (+11.9%), ES 7,604 (−0.74%), NQ −1.79%, 10Y 4.979%, DXY 99.67, VIX9D/VIX 0.82
Entry timing	10:46 ET — comfortably clear of the first hour. G3 did not even apply.
Credit	\$0.65 — above the R21 floor
Stop	Set at 4×. Trigger \$2.60.
Structure	20-wide, 5 lots, standard size
Rule breaches	None.

What happened:

The market rallied intraday against a bearish brief. The stop filled at \$2.75 against a \$2.60 trigger at 12:44 ET — \$0.15 of slippage, \$75 on five lots. SPX then faded into the afternoon and closed at 7,619.98, comfortably below the 7650 short strike. Held to expiry, the spread would have paid the full \$325.

	Amount
Loss taken at the stop	$(2.75 - 0.65) \times 5 \times 100 = -\$1,050$
Forgone premium (would have expired worthless)	+\$325
Total cost of the stop on this trade	\$1,375
Slippage component	$\$0.15 \times 5 \times 100 = \75 (5.8% of the trigger level)
If SPX had closed 10 points ITM instead (7660)	$(10 - 0.65) \times 5 \times 100 = -\$4,675$

The last line is the one that matters. The market was rallying toward the strike when the stop fired. The outcome it was protecting against was not hypothetical — it was roughly 30 points away at the close and had been closer during the session. The stop did not fire on noise here. It fired on a genuine adverse move that happened to reverse late. Those are different things, and the distinction matters for what you do next.

The part that is harder than a rule-breach loss:

Trade 227 lost \$3,000 and came with an obvious instruction attached — don't hold overnight. Trade 238 lost \$1,050 and comes with nothing. There is no adjustment that would have improved it without also degrading the trades where the stop earned its keep.

That is precisely where the tinker half of the win/wipeout/tinker cycle originates: not after losses that teach something, but after losses that don't, when the urge is to invent a lesson so the loss feels addressed. **The correct response to trade 238 is no response at all.** Log it, keep the parameters, place the next trade the same way.

THE STOP QUESTION: SIX INSTANCES, TWO POPULATIONS

Trade 238 is recorded as the sixth stop-fired-then-finished-OTM. Six sounds like a pattern demanding a fix. Split by cause, it isn't one population — it's two, and the first has already been solved.

Population	Trades	Cause	Status
Thin premium at a 2× stop	161 (\$0.40), 163 (\$0.35), 169 (\$0.45)	Stop distance too small to survive normal ODTE mark-to-market movement. A systemic flaw.	FIXED by R21 (\$0.60 floor) and the move to 4×

Population	Trades	Cause	Status
Floor-compliant premium at a 4× stop	189 (\$0.75), 238 (\$0.65)	Genuine adverse moves that reversed late. Nothing structurally wrong with the trade.	VARIANCE — the expected cost of carrying a stop

The 4× stop ledger, floor-compliant trades only:

Trade	Outcome	Amount
190	Genuine 130-point macro move — saved	+\$9,840
200	Expired ITM — saved	+\$8,700
201	Expired ITM — saved	+\$3,690
189	Finished OTM — cost	−\$1,830
238	Finished OTM — cost	−\$1,375
NET		+\$19,025

Saves of \$22,230 against costs of \$3,205 — a ratio of roughly **6.9:1**, and that is before counting trade 227, where the same bounce-exit discipline saved \$6,600 on an overnight gap. Two noise exits in five months at floor-compliant premium is a low rate, and the cost of each is about one-seventh of a single genuine save. **The parameter is right. Leave it alone.**

One thing worth starting to track, now that it has appeared explicitly for the first time: **slippage on stop fills**. Trade 238 filled \$0.15 through the \$2.60 trigger — 5.8%, or \$75. Modest, but it is a real cost of the mechanism and it will scale with size. Worth a column in the journal rather than an estimate later.

DIRECTIONAL BALANCE RESTORED

The last two reports flagged that the book had drifted to one side: seventeen, then eighteen consecutive bull put spreads, with the most recent bear call at trade 214 on 27 July. The concern was not a rule breach — sequential ODTE positions on different days do not engage R14 — but that the account was implicitly long the market every session, and that the drift had happened by default rather than by choice.

	Previous two reports	This period
Bull put spreads	13 of 13	2 of 5
Bear call spreads	0	3 of 5
Longest one-sided run	18 consecutive BPS	3 (broken)
Gap since last BCS	44 days at its peak	—

Trade 235 ended the run. Three of five trades this period were call-side, and 10 September was the first genuinely two-sided session in the log — adjacent-strike call spreads into intraday strength, then a put spread 130 points below spot once the strength had faded. Three trades, three winners, +\$500.

The honest footnote: the call side lost money this period (−\$825 across three trades) while the put side made +\$575 across two. That is entirely trade 238 and it says nothing about which side is better — the sample is far too small either way. The point is not that bear calls performed; it is that the book stopped being one-directional in a month when oil was driving risk-off and 10-year yields touched 5%. That is a regime in which an implicitly-long book is exactly the wrong thing to be carrying.

TRADE 236: THE PATTERN, THIRD TIME — AND THE RESPONSE TIME

Trade 236 was opened one minute after trade 235 on an adjacent strike, and closed sixty seconds later at \$0.55 for +\$50. Combined ten-lot call-side exposure existed for roughly a minute. Your own note is appropriately uncertain: *“sequence consistent with trimming a second stacked fill (pattern of 221/222 and 230/231); reasoning not recorded — wind-down period.”*

Instance	Date	Exposure held	Time to trim
221/222	10 Aug	~37% of net liq	~20 minutes
230/231	27 Aug	~38% of net liq	~10 minutes
235/236	10 Sep	10 lots, call side	~60 seconds

Whatever the cause, the handling is improving sharply — twenty minutes, then ten, now one. **But the response time is the compensating control, not the fix.** R25 was drafted after 221/222 and remains unadopted; this is the third occurrence in five weeks. Linking the staged entry orders so the first fill cancels the rest removes the question entirely, including the question of whether it happened at all — which, on this occasion, the journal cannot answer.

REVERSAL-TIMED ENTRIES: n=3

Trade 234 was the third instance. An order was placed as upward momentum waned, sat unfilled until a retracement executed it, and the market then resumed upward. Closed in three fills at \$0.10 by 11:48 ET for 86% capture. As your journal notes, this combines the patient-limit element of trade 197 with the reversal timing of 232/233.

Three instances, three winners, on three separate days now rather than one favourable afternoon — which is a meaningful improvement in the sample even at n=3. Under R13 the technique trades at 50% size until ten instances are logged; trade 234 at 5 lots was full size. Seven more instances before this counts as anything.

MARKET CONTEXT

3 September: A steady session with upward momentum waning — the conditions that suited trade 234's retracement limit.

10 September: VIX around 17.8. A two-sided tape that allowed call spreads into intraday strength followed by a put spread once it faded.

14 September: A defensive start to FOMC week. Stocks fell on surging oil, sagging AI names and escalating Middle East hostilities. Global AI stocks came under pressure after Anthropic's chief executive publicly called for a slowdown in frontier AI development. The S&P; 500 lost 0.48% to close at 7,619.98; the Nasdaq slipped 0.56% to 26,186.41; the Dow fell 152 points to 52,421.20. At their session lows the S&P; was down 0.8% and the Nasdaq 1.3%. **But the path was not one-way** — the intraday rally between the open and the early afternoon is what fired trade 238's stop at 12:44 before the late fade took the index back down.

15-18 September: Ten-year yields touched 5%, the highest in nearly two decades, with Brent settling around \$109 and a weak 20-year auction pressuring the long end. FOMC landed on the 16th; the 18th was triple witching. VIX fell steadily afterwards — 17.71 on the 16th, 15.44 on the 17th, 14.81 on the 18th. **No trades were placed in this window**, which given an FOMC decision, a triple-witching session and a declared wind-down is the right call on all three counts.

FRAMEWORK COMPLIANCE

Rule	Status	Notes
R2: 4× credit stop	PASS ✓	Trade 238. Fired correctly, \$0.15 slippage. Ledger now +\$19,025 net across five floor-compliant firings.
R19: No binary catalysts	PASS ✓	Trade 238 placed Monday of FOMC week, two days ahead of the announcement. No position carried into the 16th.
R21: Min credit floor \$0.60	PASS	All five at \$0.65–\$0.75.
G3: First-hour entries	MIXED	Trade 234 at 09:54 ET, tagged “NONE — rule breach” again. Trade 238 at 10:46 ET — clean, and the period's only signal-driven entry.
R13: New technique at 50% size	BREACHED	Reversal entry 234 at 5 lots, full size. Sample is n=3 of a required 10.
R25 (candidate)	NOT ADOPTED	Third stacked-entry instance (236). Trimmed in 60 seconds; cause unaddressed.
Directional balance	RESTORED ✓	18-trade one-sided run broken. Both sides traded.
Mistakes column	STILL MIXED	“NONE — rule breach” on 234 and “NONE — process note” on 236. The third-category problem flagged last report persists.

The loss this period came from the one trade with a completely clean sheet. Everything flagged above sits on winning or scratched trades. That is an unusual and rather healthy shape for a compliance table — it means the breaches are no longer the expensive part.

LESSONS LEARNED

WHAT WORKED

- ✓ Trade 238 was executed correctly in every respect and lost money. That is the system working, not failing — a stop that never costs anything is a stop that is never protecting anything.
- ✓ Directional concentration broken after 18 consecutive bull put spreads, in precisely the month when an implicitly-long book was the wrong thing to carry.
- ✓ The two-sided session on 10 September: calls into strength, puts after the fade. Three trades, three winners.
- ✓ Stacked-entry response time down to 60 seconds from 20 minutes across three instances.
- ✓ Standing aside through FOMC and triple witching. Five sessions, no trades, no forcing.

- ✓ Trade 237 placed 130 points below spot — a deliberately conservative strike on a day the call side had already been trimmed.

WHAT NEEDS ATTENTION

- **1. Change nothing in response to trade 238.** It is the single most important instruction in this report. A clean loss with no lesson is the exact condition under which parameters get altered for no reason. The stop ledger is 6.9:1 in favour.
- **2. R25 — third occurrence, still unadopted.** Five weeks, three instances. Linking the staged entries is a five-minute change that would also have removed the ambiguity in trade 236's journal entry.
- **3. Add a slippage column.** Trade 238 gave \$75 to the fill. It is the first time this has been recorded explicitly and it will scale with size — better measured than estimated.
- **4. Reversal entries back to 50% size.** R13 applies until ten instances. Three winners across three separate days is encouraging and is still not evidence.
- **5. The Mistakes tagging convention, third time of asking.** "NONE — rule breach" and "NONE — process note" both break the clean/error segmentation the journal analysis depends on.

CONCLUSION

–\$250 gross, –\$366 net, 4 wins from 5, cumulative +\$1,895 across 83 trades. A slightly negative period in which the only losing trade was also the only trade with nothing wrong with it.

Trade 238 is the loss you asked for, and it should be treated as a result rather than a problem. With-signal, correctly timed, floor-compliant, stopped as designed, and the market simply went the other way and came back too late. Set against trade 227 five weeks earlier — a \$3,000 loss from a rule you knew you were breaking as you broke it — the contrast is the whole point of building a framework. One of those losses is information. The other is just the price of being in the market.

The thing to resist is the tidying-up instinct. There is no adjustment to trade 238 that improves it without damaging the trades where the stop earned \$22,230. The correct response to a clean loss is to place the next trade identically, and the tell that the framework has genuinely taken hold will be that the next entry after this one looks exactly like the last one before it.

On the wind-down. Five trades across thirteen sessions, none since the 14th, through an FOMC week and a triple-witching Friday. The reduced frequency was declared before the loss rather than after it, which matters — it is a plan being followed rather than a reaction. With the MSc starting, a smaller, more selective book is the right shape. The live account has carried 83 trades and sits profitable; the framework has been tested by a gap, a regime turn, a rule breach and now a clean loss. It is in reasonable condition to be left alone for a while.

Next Report: On resumption of regular trading.